Question 1: Solution

Briefly explain the components on which you need to perform audit work and the overall scope of the audit work required on each component, using the information in the Appendix.

Component	**Audit work to be performed (1 mark)**	**Explanation (1 mark)**	**Scope of work required (2 marks)**
Fastest Fish Ltd (Fastest)	Yes	Individually large as represents 80% of group's revenue historically, even if sales reduce by 10% this will remain the most significant component.	Full audit using component materiality
Tasty Fingers Ltd (Tasty)	Yes	Contains significant risk of material misstatement of its property, plant and equipment due to the balance being individually material, and property purchases occurring for the first time in the current year.	The audit of property, plant and equipment due to the increased risk of material misstatement *Or if the candidate describes specific audit procedures relating to property, plant and equipment, credit should be awarded.*
Forever Chips Café Ltd (Forever)	No	Individually less significant financially, with no significant risk.	Analytical review procedures at group level

Question 2: Solution

Tests of control to confirm the operating effectiveness of IFES's group controls and controls over the consolidation process

1. Attend and observe a monthly performance call for each subsidiary, confirming attendance by the CEO, CFO, Janet and group internal audit manager and relevant discussion and action of standing agenda. **(1 mark)**

2. Inspect a copy of the standing agenda and information pack **(1 mark)** to confirm that it includes coverage of relevant information, including that related to financial performance. **(1 mark)**

3. Inspect a copy of the internal audit plan, **(1 mark)** confirming that all subsidiaries are subject to review as part of the annual internal audit cycle. **(1 mark)**

4. Evaluate the reporting line and expertise of the internal audit department to confirm their independence and competence. **(1 mark)**

5. Inspect a copy of the group reporting instructions email and standard reporting pack sent to subsidiary financial controllers in advance of the month end, **(1 mark)** confirming that they are appropriate and suitable for submission of financial information required for the consolidation. **(1 mark)**

6. Inspect a sample of consolidation checklists submitted by each subsidiary, **(1 mark)** confirming approval by the subsidiary's financial controller and general manager. (1 marks=)

7. Reperform a sample of foreign currency conversions calculated by the Excel consolidation spreadsheet **(1 mark)** to confirm translated correctly. **(1 mark)** Data analytics may also be used to do this for all transactions.

8. Inspect a copy of the email evidence from Janet **(1 mark)** approving the exchange rates used in the consolidation. **(1 mark)**

9. Compare the accounting policy alignment checklist to IFRS accounting standards **(1 mark)** to ensure it addresses the differences between US GAAP and IFRS. **(1 mark)**

10. Inspect a copy of the accounting policy alignment checklist and Excel adjustments **(1 mark)** completed by Amir and confirming evidence of sign-off and review by Janet. **(1 mark)**

11. Enquire with Amir how he identifies inter-company sales and if a checklist for consolidation adjustment is used. **(1 mark)** If so, obtain and inspect this checklist to ensure all expected consolidation adjustments are included. **(1 mark)**

12. Inspect a sample of monthly consolidated management accounts, **(1 mark)** confirming approved by Janet. **(1 mark)**

13. Inspect the assessment of judgemental matters prepared by Amir and confirm reviewed by the CFO, **(1 mark)** with any queries investigated in a timely manner prior to release to senior management team members. **(1 mark)**

14. Inspect a copy of the draft group financial statements, **(1 mark)** confirming approved by the CFO. **(1 mark)**